

SANDS CAPITAL

Select Growth

Quarterly Report
September 30, 2026
USD

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Select Growth

Select Growth focuses primarily on U.S. businesses at the forefront of the most vital areas of positive structural change in our economy. These businesses are built on disruptive innovation, and generate growth by inspiring profound change within existing industries or creating entirely new ones.

Investment Criteria

1. Sustainable above-average earnings growth
2. Leadership position in a promising business space
3. Significant competitive advantage/unique business franchise
4. Clear mission and value-added focus
5. Financial strength
6. Rational valuation relative to the market and business prospects

Key Attributes

September 30, 2026

Concentrated and Conviction-Weighted

Holdings	**29 businesses**
Top Ten Weight	**55%**

Long-Term Investment Horizon

Turnover (Annual Avg.)	**32%**
Expected Holding Period	**5+ years**

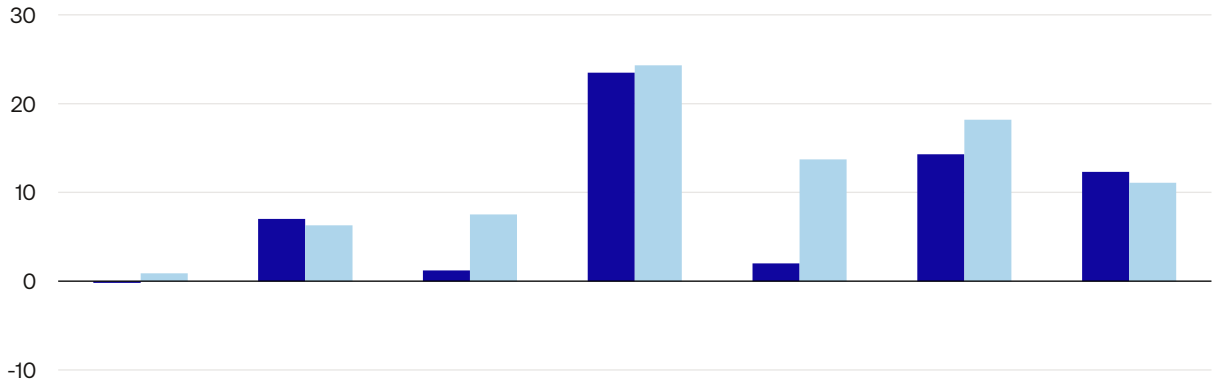
Growth-Oriented

Sands Capital Long-Term EPS Growth Estimate	**38%**

Investment Results (%)

Select Growth vs. Russell 1000 Growth Index

As of 09/30/2026



	QTD	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception
Portfolio (Net)	-0.2	7.0	1.2	23.5	2.0	14.3	12.3
Benchmark	0.9	6.3	7.5	24.3	13.7	18.2	11.1
Value Added (%)	-1.1	0.7	-6.3	-0.7	-11.6	-3.9	1.2

Calendar Year Returns (%)

	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Portfolio (Net)	35.1	6.8	33.3	71.4	4.9	-49.1	52.0	24.3	15.5	7.0
Benchmark	30.2	-1.5	36.4	38.5	27.6	-29.1	42.7	33.4	18.6	6.3
Value Added (%)	4.9	8.3	-3.1	32.9	-22.7	-20.0	9.4	-9.1	-3.1	0.7

Inception date is 02/29/1992. Returns over one year are annualized. The investment results shown are net of advisory fees and expenses and reflect the reinvestment of dividends and any other earnings. The investment results are those of the Select Growth Tax Exempt Institutional Equity Composite. Net of fee performance was calculated using Select Growth Tax Exempt Institutional Equity Composite's actual fees and performance fees if applicable. Past performance is not indicative of future results. Data Load ID: 670

Portfolio Characteristics

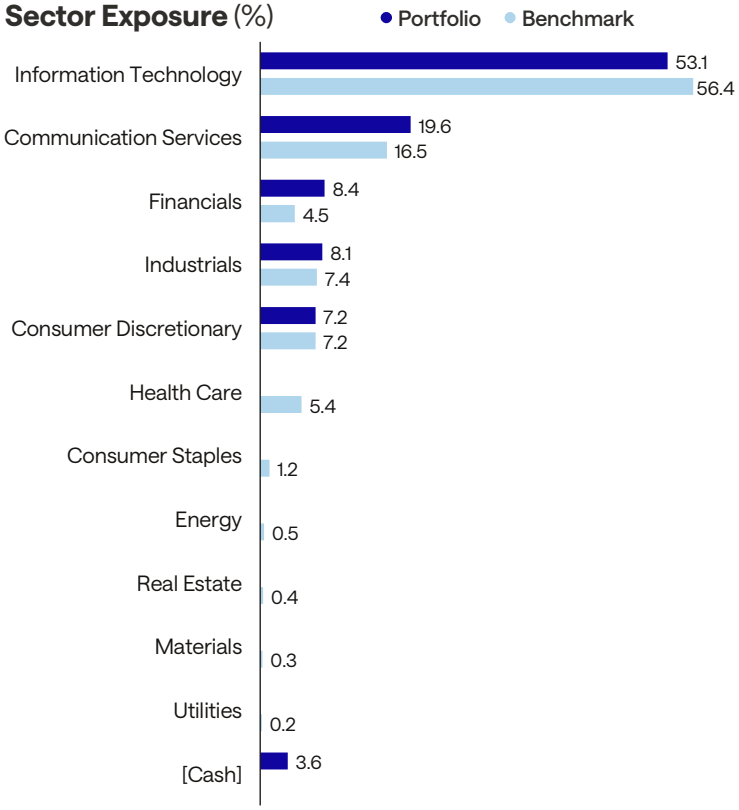
	Portfolio	Benchmark
Strategy Assets (USD)	$10.6B	n/a
Portfolio Businesses	29	371
Active Share	53%	n/a
5-Year Historical EPS Growth	36%	35%
Consensus Forward P/E - Next 12 mos.	22x	22x
Weighted Avg. Market Cap (USD)	$1.8T	$2.3T
Median Market Cap (USD)	$209.2B	$24.5B
Turnover - Trailing 12 mos.	50%	n/a

Efficiency and Volatility Metrics

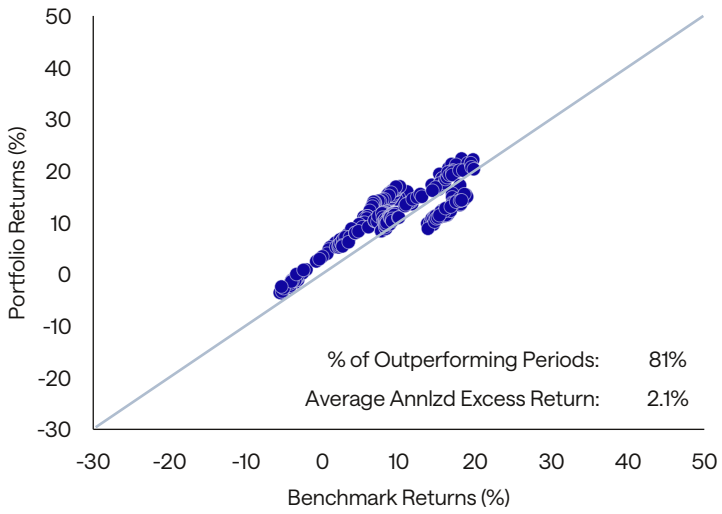
(Trailing 5 Years Net of Fees)	Portfolio	Benchmark
Beta	1.27	1
Information Ratio	-1.0	n/a
R-Squared	84.3%	100.0%
Sharpe Ratio	-0.1	0.5
Standard Deviation	26.5%	19.1%
Tracking Error	11.7%	n/a
Up Capture	99.5%	100%
Down Capture	132.7%	100%

Past performance is not indicative of future results.

Sector Exposure (%)



Rolling 10 Year Investment Results



Average annualized excess returns are calculated based on monthly rolling periods beginning 02/29/1992 (composite inception date). The investment results shown are net of advisory fees and expenses and reflect the reinvestment of dividends and any other earnings. Investment results presented are those of the Select Growth Tax Exempt Institutional Equity Composite. Net of fee performance was calculated using Select Growth Tax Exempt Institutional Equity Composite's actual fees and performance fees if applicable. Past performance is not indicative of future results.

Top Ten Holdings (54.9% of Assets)

Company	Sector	Domicile	Weight (%)	Owned Since
NVIDIA	Information Technology	United States	12.0	2022
Alphabet	Communication Services	United States	7.0	2025
Taiwan Semiconductor	Information Technology	Taiwan	6.3	2025
Meta Platforms	Communication Services	United States	5.8	2023
Microsoft	Information Technology	United States	5.6	2023
Lam Research	Information Technology	United States	4.0	2026
Broadcom	Information Technology	United States	3.6	2025
Amazon	Consumer Discretionary	United States	3.6	2015
Block	Financials	United States	3.5	2020
Spotify	Communication Services	Sweden	3.4	2024

Source: Benchmark data sourced from Benchmark providers. Company domicile, sector, industry, regional, and country classifications, where applicable, are sourced from MSCI. Other data sourced from FactSet.

Portfolio Holdings by Sector

Sector/Company	GICS Industry	Domicile	Portfolio (%)	Benchmark (%)	Owned Since
Communication Services			**19.6**	**16.5**	
Alphabet	Interactive Media & Services	United States	7.0	10.7	2025
AppLovin	Media	United States	0.3	0.2	2024
Meta Platforms	Interactive Media & Services	United States	5.8	3.8	2023
Space Exploration Technologies	Diversified Telecommunication Services	United States	1.3	0.2	2026
Sphere Entertainment	Entertainment	United States	1.7	0.0	2026
Spotify	Entertainment	Sweden	3.4	0.2	2024
Consumer Discretionary			**7.2**	**7.2**	
Amazon	Broadline Retail	United States	3.6	0.6	2015
Carvana	Specialty Retail	United States	2.4	0.1	2025
Sea	Broadline Retail	Singapore	1.2	0.0	2019
Financials			**8.4**	**4.5**	
Block	Financial Services	United States	3.5	0.0	2020
Intercontinental Exchange	Capital Markets	United States	1.9	0.0	2024
Visa	Financial Services	United States	3.0	1.8	2008
Industrials			**8.1**	**7.4**	
Bloom Energy	Electrical Equipment	United States	3.2	0.2	2026
Carpenter Technology	Aerospace & Defense	United States	2.0	0.1	2025
Quanta Services	Construction & Engineering	United States	2.9	0.3	2025
Information Technology			**53.1**	**56.4**	
Advanced Micro Devices	Semiconductors & Semiconductor Equipment	United States	3.3	2.9	2026
Broadcom	Semiconductors & Semiconductor Equipment	United States	3.6	4.8	2025
Cloudflare	IT Services	United States	2.0	0.3	2021
Datadog	Software	United States	2.0	0.3	2022
Lam Research	Semiconductors & Semiconductor Equipment	United States	4.0	1.2	2026
Micron Technology	Semiconductors & Semiconductor Equipment	United States	3.2	3.5	2026
Microsoft	Software	United States	5.6	5.6	2023
NVIDIA	Semiconductors & Semiconductor Equipment	United States	12.0	15.7	2022
Palantir Technologies	Software	United States	1.7	1.2	2026
Samsara	Software	United States	1.0	0.0	2024
SanDisk	Technology Hardware, Storage & Peripherals	United States	2.4	0.7	2026
Seagate Technology	Technology Hardware, Storage & Peripherals	United States	3.2	0.0	2026
Shopify	IT Services	Canada	2.8	0.0	2021
Taiwan Semiconductor	Semiconductors & Semiconductor Equipment	Taiwan	6.3	0.0	2025
Cash			3.6		

Data presented is that of the Select Growth Tax Exempt Institutional Equity Composite. The index represented will differ in characteristics, holdings, and sector weightings from that of the composite. The index does not contain cash and does not reflect the reinvestment of dividends. Rounding may cause figures to vary from 100.0%. Source: Sands Capital, FactSet, MSCI.

Third Quarter 2026 Commentary

Market Environment

U.S. large-cap growth equities (as measured by the Russell 1000 Growth Index) advanced during a volatile third quarter as investors weighed strong corporate earnings against mounting macroeconomic pressures and questions about the durability of the AI infrastructure buildout. The period began with a sharp unwind in many of the market's strongest-performing AI infrastructure businesses before leadership broadened toward companies whose growth is more directly tied to AI adoption and monetization. Later in the quarter, rising oil prices and higher bond yields weighed further on growth equities.

Much of the volatility reflected a disconnect between concerns around the sustainability of AI capital spending and fundamental data from companies across the ecosystem. Advances in lower-cost AI models and questions around hyperscaler capacity pressured AI infrastructure businesses following an exceptionally strong first half of the year, while crowded positioning and elevated momentum amplified the sell-off. Calls from several industry leaders for a more measured pace of frontier-model development added to these concerns later in the quarter. Yet corporate results generally reinforced the durability of demand. Cloud providers continued to report strong growth and capacity constraints, while semiconductor and cloud service companies highlighted expanding backlogs and investment plans.

At the same time, the AI investment narrative began to broaden. Improvements in model capability and efficiency are lowering the cost of inference and expanding potential AI applications, shifting investor attention toward businesses that may benefit from greater AI usage. Software, cybersecurity, and data infrastructure companies increasingly demonstrated that AI could represent a source of incremental demand and monetization rather than solely a disruption risk. This contributed to a rotation away from some of the longer-term momentum winners tied most directly to AI capital expenditures and toward potential beneficiaries of the emerging "inference economy."

Corporate earnings and economic data remained generally supportive, even as macroeconomic pressures intensified. S&P 500 earnings advanced 53 percent year over year and broadened beyond the largest technology companies, while economic data suggested continued underlying strength. However, rising oil prices amid escalating geopolitical tensions renewed inflation concerns and pushed global sovereign bond yields sharply higher. The U.S. 10-year Treasury yield rose 85 basis points during the quarter to 5.29 percent, its highest level since 2002. Against this backdrop, the Federal Reserve raised its target range for the federal funds rate by 25 basis points to 3.75 percent to 4.00 percent, its first increase since 2023.

Investment Results and Attribution

Investment results reflected the broad reversal in market leadership in the third quarter. The portfolio's AI infrastructure holdings were among the largest detractors, with weakness particularly pronounced among memory suppliers and semiconductor capital equipment providers serving the industry. These declines were largely offset by a recovery in consumer internet and vertical software holdings that had lagged in the first half of the year.

The sell-off across the memory value chain reflected a shift in investor sentiment amplified by crowded positioning. Concerns that Chinese suppliers could add capacity and pressure memory margins emerged alongside broader questions about the economics of AI infrastructure. After a period of strong share price gains, those concerns contributed to a sharp drawdown in memory suppliers and the equipment businesses that serve them.

As sentiment toward AI infrastructure deteriorated, investor attention shifted toward businesses positioned to benefit from broader AI adoption and usage. Many of our software and consumer internet holdings, among the portfolio's laggards in early 2026, benefited from this shift. Many are seeing AI contribute to improving business fundamentals as they combine proprietary datasets and scaled distribution to deliver more personalized experiences, improve discovery and engagement, or generate insights that reduce costs and improve industrial operations.

Our data infrastructure and cybersecurity holdings also benefited from this shift. As AI applications proliferate and agents increasingly act autonomously, we expect substantial growth in the volume and complexity of internet traffic and software activity. This creates greater demand for infrastructure that securely connects users, applications, models, and agents, as well as tools that monitor performance and identify problems across these systems. We are beginning to see this opportunity translate into business results through growing demand from AI-native customers and expanding use cases in AI inference,

agentic workloads, and observability. These businesses are increasingly being recognized as beneficiaries of AI adoption after earlier concerns about their vulnerability to disruption.

The top individual absolute contributors were NVIDIA, Microsoft, Meta Platforms, Shopify, and Cloudflare.

NVIDIA was a top contributor as strong second-quarter results and a raised outlook lifted expectations across AI infrastructure. Revenue and adjusted earnings per share exceeded consensus, and data center revenue grew 117 percent year over year. More notably, management guided to roughly 70 percent revenue growth for fiscal 2028, well above the 44 percent consensus estimate entering the quarter. It also noted that customer forecasts point to demand nearly doubling next year. NVIDIA expects to capture only a portion of that demand because of supply constraints, which reinforces our view that AI infrastructure demand is larger and more durable than the market appreciates. Management also pointed to growing adoption of its central processing units (CPUs). Grace, its data center CPU, generated more than $5 billion in revenue over the trailing 12 months, and management expects CPU revenue to more than double in fiscal 2028. We maintain our conviction in NVIDIA, underpinned by its leading architecture and ecosystem and by its expanding role across training, inference, and agentic AI workloads.

Microsoft shares rose after fiscal fourth-quarter results reinforced strong AI demand and improving monetization. Revenue increased 18 percent year over year, while Azure growth accelerated to 43 percent in constant currency and management guided to 45 percent growth next quarter. Copilot seat net adds also roughly doubled year over year, supporting our view that Microsoft remains early in monetizing AI across its installed base. Importantly, the quarter also helped ease concerns around the returns on elevated AI spending. Capital expenditures were slightly below expectations, margins remained resilient, and management reiterated that free cash flow should remain positive in fiscal 2027. We believe Microsoft remains well positioned to benefit from AI through Azure growth, Copilot adoption, and improving model efficiency.

Meta Platforms' shares advanced following the release of Muse, its consumer AI agent. The launch helped ease concerns around the returns on the company's significant capital investments by demonstrating how its AI infrastructure can support new products and monetization opportunities. Within its first month of launch, Muse reached over 2 million weekly users, among the fastest consumer AI product ramps we have observed. The rapid uptake highlights Meta's ability to leverage its global distribution to scale new products quickly. The development followed strong second-quarter results, with revenue increasing 28 percent year over year, supported by double-digit growth in time spent and advertising impressions across its platform of 3.6 billion daily active users. We maintain conviction in Meta's ability to leverage its global user base and AI investments to drive higher engagement, introduce new products, and support durable advertising growth.

Shopify is a leading global ecommerce platform enabling the next generation of retail. Shares advanced following strong second-quarter results and growing evidence that the company is well positioned to benefit from advancements in consumer AI agents. Revenue and gross merchandise volume both grew more than 30 percent year over year despite difficult comparisons, while margins continued to improve. Importantly, AI-driven traffic and orders to Shopify stores tripled, with AI-assisted shopping generating higher conversion and helping consumers discover products from smaller merchants across Shopify's long tail. On the merchant side, adoption of Shopify's AI tools also continued to expand, helping businesses operate and analyze their stores more efficiently. We maintain conviction that Shopify's scale, merchant ecosystem, and expanding AI capabilities can reinforce its competitive position and support continued profitable growth.

Cloudflare operates a network that functions as the internet's security layer, traffic router, and delivery infrastructure. With agentic traffic now accounting for more than 50 percent of the company's network traffic according to Cloudflare, we view Cloudflare as a beneficiary of agentic proliferation and AI use cases requiring edge computing. We are also encouraged by continued execution and progress toward GAAP profitability. Year-over-year revenue growth accelerated in the most recently reported quarter, and full-year guidance rose by more than the beat. Strength was broad across product areas, and new deal announcements reflected larger engagements and greater use of Cloudflare's Workers platform, which enables building and running applications on its network. Enterprise momentum was evident in revenue growth from customers spending more than $100,000 annually, up 40 percent year over year. Management's guidance implies operating margin improvement in the second half of 2026, with GAAP profitability expected by 2028. Looking ahead, we believe more consumption-linked revenue, combined with prudent guidance, could set Cloudflare up for larger quarterly beats than it has delivered historically.

The top individual absolute detractors were Carpenter Technology, Lam Research, Micron Technology, Seagate Technology, and Sphere Entertainment.

Carpenter Technology is a leading supplier of specialty nickel alloys for the aerospace industry. Shares declined amid concerns that higher oil prices could weigh on aerospace aftermarket demand. Fiscal fourth-quarter results also fell short of expectations in some areas, with the business facing a high bar following strong recent operating results and share price performance during the first half of 2026. More specifically, operating profit came in modestly below expectations, primarily due to the timing of corporate expenses, while management issued a conservative fiscal 2027 outlook. However, margins in Carpenter's Specialty Alloy Operations business expanded 700 basis points year over year, consistent with our expectations that recovering aerospace production and tightening metals supply will support continued pricing power. With our investment thesis unchanged, we believe management's fiscal 2027 guidance is conservative relative to the underlying earnings opportunity.

The drawdown in **Lam Research**, **Micron Technology**, and **Seagate Technology** reflects a reassessment of the industry's growth trajectory rather than a deterioration in demand, in our view. Following 12 months of significant upward earnings revisions, we expect the pace of further upgrades to moderate as pricing gains slow and shipment volumes become a more important driver of revenue growth. Long-term supply agreements should provide memory suppliers with greater demand visibility, although they may also limit some additional pricing and margin upside.

We are also monitoring the potential for additional supply from Chinese memory producer ChangXin Memory Technologies (CXMT). CXMT is a credible competitor in conventional dynamic random-access memory (DRAM), and our forecasts account for its continued growth. However, high-bandwidth memory (HBM) is more complex to manufacture and requires substantially more wafer capacity per bit. We estimate that CXMT remains two to three years behind industry leaders in HBM and therefore do not expect its expansion to resolve supply constraints in that market in the near term. Moreover, as leading suppliers devote more capacity to HBM, they constrain the capacity available for conventional DRAM.

Our holdings provide exposure to different parts of this value chain. Micron supplies HBM and other memory products, Seagate serves hard-disk storage demand, and Lam Research supplies equipment used in increasingly complex memory manufacturing processes. While the outlook for each business differs, we believe their current valuations collectively discount a near-term industry downturn that is inconsistent with our expectations for sustained AI-related demand and earnings growth.

Sphere Entertainment is creating a new category of immersive live entertainment. Shares came under pressure during the quarter amid signs of weaker Las Vegas tourism and concerns that growth from "The Wizard of Oz" could moderate against tougher year-ago comparisons. Despite these concerns, second-quarter business results remained healthy, with Sphere segment revenue increasing 29 percent year over year and adjusted operating income rising 60 percent. Sponsorship revenue also grew nearly 70 percent. We continue to believe the long-term opportunity extends beyond a single attraction or the Las Vegas tourism cycle. Additional content, including "The Rocky Horror Picture Show", should improve venue utilization, while new Sphere locations beyond Abu Dhabi and National Harbor could meaningfully expand the company's earnings base over time.

Portfolio Activity

In the third quarter, we initiated a position in **Palantir Technologies**, while exiting our positions in **Axon Enterprise** and **Ultragenyx Pharmaceutical**.

Palantir Technologies builds the data infrastructure that enterprises and governments use to put AI to work in complex operations. We believe the business benefits from enterprise AI adoption and defense modernization because its software connects fragmented data, models how an organization operates, and turns insights into actions. Foundry integrates data from disparate systems into Palantir's Ontology, which maps the objects, relationships, permissions, and workflows that define an organization. This creates a dynamic representation of operations that users can analyze, automate, and update in real time, including through scenario analysis that can reveal how disruptions affect interconnected systems. AIP extends this foundation by allowing customers to deploy any AI model into workflows and build agents while maintaining access controls, auditability, and data governance.

Palantir can operate across cloud, on-premises, edge, and disconnected environments, making it suitable for highly sensitive workloads. Its security credentials are particularly differentiated. Palantir is among a small group of technology companies with Department of Defense Impact Level 6 authorization, which allows its cloud offering to support the handling of classified information in accredited environments.

Our conviction in Palantir's opportunity led us to exit Axon. We believe Axon remains well positioned to benefit from AI, but in Select Growth we increasingly prefer companies with broader opportunities to monetize AI across enterprise operating budgets.

We exited Ultragenyx Pharmaceutical after a holding period of more than three years. We initially viewed the company as an attractive risk/reward opportunity supported by its established commercial business and underappreciated pipeline of rare-disease therapies. During our holding period, Ultragenyx experienced both clinical successes and setbacks. In September, the phase 3 readout for GTX-102 in Angelman syndrome fell short of expectations, leading to a sharp decline in its shares. After reassessing the range of potential outcomes, we concluded that the balance of upside potential relative to downside risk had become less attractive and redeployed the capital into higher-conviction investments.

Outside of these investment actions, the primary theme underlying our third-quarter investment activity was a shift back toward cloud computing providers. After a year of increasing exposure to sellers of AI infrastructure, these actions brought the portfolio toward a more balanced allocation between infrastructure suppliers and the cloud hyperscalers purchasing that infrastructure.

These actions partly reflect a growing disconnect between hyperscaler share price performance and operating results suggesting that AI workloads are supporting, rather than undermining, cloud profitability. Second-quarter results showed continued revenue acceleration across the cloud businesses of Alphabet, Microsoft, and Amazon, with stable or expanding margins. We believe these results reinforce the strength of cloud demand and suggest improving AI infrastructure economics. Cloud providers' custom silicon is also creating revenue opportunities and supporting margins as a portion of AI workloads shifts to lower-cost proprietary chips.

At the same time, compute capacity remains constrained. Alphabet raised its 2026 capital spending outlook by $15 billion as it identified opportunities to accelerate capacity delivery, repeatedly described its cloud business as supply constrained, and entered a temporary agreement to access compute from Space Exploration Technologies at a premium. Amazon similarly noted that meaningful capacity is already reserved through 2028 and emphasized that it brings capacity online only when it has strong visibility into customer demand. These developments suggest that hyperscaler spending is supported by visible demand and growing backlogs, strengthening our confidence in the opportunity to deploy additional capital productively.

Outlook

The third quarter reinforced our view that the AI opportunity is broadening rather than simply shifting from infrastructure toward applications. Improving model capabilities and declining inference costs are expanding the range of economically viable use cases, while rising AI usage continues to require substantial investment in compute, memory, networking, and power. As agents become more capable and extend beyond coding into consumer services and knowledge work, we expect adoption and infrastructure demand to remain closely connected.

At the same time, the pace and composition of that demand will continue to evolve. Competition from lower-cost models, changes in model architecture, and new sources of infrastructure supply could alter where bottlenecks emerge and how economics accrue across the AI ecosystem. The third quarter demonstrated how quickly investor expectations can adjust to these developments, even when underlying demand remains strong. We therefore believe continued reassessment will be important as the AI investment cycle matures.

Our positioning reflects this expanding opportunity. We maintain conviction in selected infrastructure suppliers where we believe valuations understate the durability of demand, while increasing exposure to cloud providers whose operating results suggest improving AI monetization and attractive opportunities to deploy additional capital. We also retain exposure to software and consumer businesses where proprietary data, scaled distribution, and embedded customer relationships can enable AI to strengthen existing competitive advantages and create new sources of growth.

We expect the path ahead to remain uneven. The magnitude of AI-related capital investment raises the importance of demonstrating sustainable returns, while competition and technological change are likely to produce increasingly differentiated outcomes across companies. Our focus remains on testing our investment theses against operating results, reassessing valuations as the evidence changes, and directing capital toward businesses where we believe long-term growth prospects remain underappreciated.

As the first three quarters of this year have demonstrated, investor perceptions can change quickly. We believe a long-term perspective, combined with a willingness to adapt as fundamentals evolve, remains essential to identifying underappreciated growth and taking advantage of the opportunities that volatility creates.

Related Perspectives



Beyond GPUs: The Broadening of AI Infrastructure

As AI systems evolve from passive prediction engines into autonomous agents capable of reasoning, planning, and executing complex tasks, the nature of infrastructure demand is beginning to change.

Article | Artificial Intelligence | Secular Trends | 5 min read



The New Power Economy

Electricity demand is rising as AI, electrification, and advanced manufacturing make the economy more power intensive, creating opportunities for businesses tied to generation, transmission, grid equipment, and on-site power.

Article | Artificial Intelligence | Secular Trends | Research | 3 min read

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AI can create "winners" and "losers" in markets. "Winners" are those who can leverage AI to enhance productivity and efficiency. "Losers" may include companies whose products and services are at risk of replacement.

Differences in account size, timing of transactions and market conditions prevailing at the time of investment may lead to different results, and clients may lose money. A company's fundamentals or earnings growth is no guarantee that its share price will increase. Forward earnings and revenue projections are not predictors of stock price or investment performance, and do not represent past performance. Characteristics, sector exposure and holdings information are subject to change, and should not be considered as recommendations. The specific securities identified and described do not represent all of the securities purchased, sold, or recommended for advisory clients. There is no assurance that any securities discussed will remain in the portfolio or that securities sold have not been repurchased. You should not assume that any investment is or will be profitable. Upon request, a complete list of securities purchased and sold will be provided. A full list of public portfolio holdings, including their purchase dates, is available here. To receive a complete list of and description of the calculation methodology for the attribution analysis and complete list detailing each holding's attribution please contact a member of the Client Relations Team at 703-562-4000.

Contribution Analysis (Net %)

Quarter to Date

Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
NVIDIA	11.7	14.2	1.5
Microsoft	4.9	37.7	1.5
Meta Platforms	5.1	28.7	1.3
Shopify	2.8	29.8	0.7
Cloudflare	1.9	41.5	0.7

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
Carpenter Technology	2.9	-37.0	-1.4
Lam Research	3.8	-24.2	-1.2
Micron Technology	3.0	-7.8	-0.6
Seagate Technology	3.1	-4.4	-0.5
Sphere Entertainment	2.0	-22.4	-0.5

Trailing 1 Year

Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
Taiwan Semiconductor	6.3	64.3	3.4
Seagate Technology	2.0	112.7	3.0
NVIDIA	12.5	22.3	2.5
Alphabet	5.8	41.5	1.5
Micron Technology	1.2	45.4	1.1

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
AppLovin	2.2	-60.0	-2.3
Sea	2.3	-45.9	-2.3
Roblox	1.1	-67.6	-2.0
DoorDash	1.5	-38.5	-1.4
Spotify	3.5	-30.6	-1.3

Trailing 3 Year

Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
NVIDIA	10.5	424.1	20.6
Amazon	7.4	93.5	6.6
ServiceNow	3.8	45.3	6.2
Meta Platforms	5.9	141.3	5.8
Microsoft	7.3	63.7	5.6

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
AppLovin	1.5	-10.4	-2.3
Venture Global	0.2	-68.0	-1.2
ASML Holding	1.1	-16.0	-1.1
Align Technology	0.3	-23.4	-0.9
Oracle	0.1	-35.0	-0.8

Trailing 5 Year

Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
NVIDIA	7.3	1276.6	28.3
Microsoft	5.1	89.7	6.0
ServiceNow	5.2	29.9	5.3
Lam Research	1.7	124.0	5.1
Taiwan Semiconductor	1.6	115.0	4.5

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
Sea	3.2	-72.1	-14.3
Block	3.7	-71.9	-9.9
Match Group	1.3	-80.1	-8.7
Atlassian	2.9	-63.5	-7.4
Twilio	0.5	-73.0	-5.7

All values are those of the Select Growth Tax Exempt Institutional Equity Composite. The companies identified above represent a subset of current and former holdings in the Select Growth portfolio and were selected based on the performance measures presented. With the exception of IPOs where actual transacted prices are used, contributions are calculated in FactSet Portfolio Analysis using FactSet end of day prices, and do not reflect actual purchase prices. This can affect the presentation of contribution and performance of transactions amid heightened volatility. Security return and contribution are net of advisory fees and expenses and reflect the reinvestment of dividends and any other earnings. Attribution generated returns will not match actual performance because FactSet uses different exchange rate sources, the performance does not capture intra-day trading, and the analysis removes the impact of cash flows. Relative Return calculations do not incorporate risk or volatility impacts and should not be exclusively relied upon. To receive a description of the calculation methodology for the attribution analysis and a complete list detailing each holding's attribution please contact a member of the Client Relations Team at 703-562-4000. Past performance is not indicative of future results.

Stewardship

Carbon Exposure

Select Growth vs. Russell 1000 Growth
Reported September 30, 2026

Carbon Footprint

	Carbon Emissions	Carbon Intensity	Weighted Average Carbon Intensity	Carbon Emissions Data Availability
Select Growth	3.7	36.0	84.6	100%
Russell 1000 Growth	8.5	70.5	40.9	100%
	tCO_2e/$M Invested	tCO_2e/$M Sales		Market Value

Carbon Emissions are calculated as Scope 1 & Scope 2 carbon emissions per $1 million invested. Portfolio and Benchmark Carbon Intensity is defined as the portfolio or benchmark carbon emissions per $1 million of portfolio or benchmark sales. At a business level, carbon intensity is calculated as carbon emissions per unit of sales (tons/$ 1 million sales). Weighted averages are computed as the sum product of the portfolio or benchmark companies' respective carbon values and portfolio or benchmark companies' weights.

Largest Contributors to Portfolio Weighted Average Carbon Intensity

Company	Portfolio Weight (%)	Carbon Intensity (S1+2) tCO_2e/$m	Contribution to Weighted Average Carbon Intensity
Bloom Energy	3.4	1,457.2	48.9
Taiwan Semiconductor	6.5	174.9	11.4
Micron Technology	3.3	245.2	8.1
Seagate	3.3	149.1	4.9
Microsoft	5.9	43.3	2.5

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Proxy Voting

Proxy voting is an important part of our commitment to being an active, long-term owner and to fulfilling our fiduciary duty to act in the best interests of our clients.

Who Makes the Decision?

Voting decisions are made by members of our investment research team, those who know the business, and are typically directed by the lead analyst on the business.

What Information Do We Consider?

Our evaluation of each meeting agenda typically considers company proxy documents, our own research on the business, recent discussions with management, and third-party analysis.

While we do consider independent proxy advisers' guidance, we do not delegate our voting or rely upon such guidance in our voting decisions.

How Do We Approach Management Proposals?

Because management quality is a key criterion in identifying businesses for our portfolios, we tend to vote proxy proposals in favor of management. When we intend to vote against management, we may discuss the rationale for our decision with management.

Select Growth Voting Activity
TTM Ending September 30, 2026

Votes	Businesses	Resolutions	%
Cast in Favor of Management	26	297	94%
Cast Against Management	7	12	4%
Abstentions	1	6	2%
		315	100%

Engagement enables us to better understand management's long-term vision and discuss how they manage ESG risks and opportunities, among other issues.

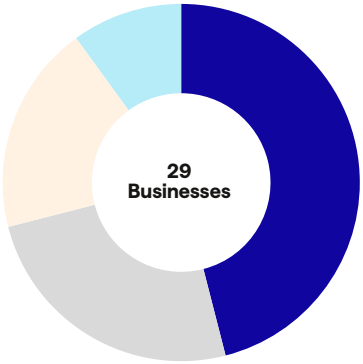
We meet regularly with the management teams of our portfolio businesses. Typically, they recognize us for our long-term investment orientation and focus on value creation.

We proactively express our views regarding business strategy, governance, financial reporting, executive compensation, and other stakeholder considerations when merited.

We are not activists and do not invest with the intention of pressuring management teams or pursuing campaigns to materially change our portfolio businesses.

We are objective and business-focused. We reserve the option to sell our shares if management is unable to address our concerns, which could reduce our conviction in the company's fit with our investment criteria.

Select Growth Engagement Activity
TTM Ending September 30, 2026



- Business Strategy: 46%
- Governance: 25%
- Social: 19%
- Environment: 10%

ESG Topics Generally Addressed

Governance

Capital structure
Management accountability
Shareholder protection and rights
Increasing transparency and disclosure
Board structure or composition
Executive compensation
ESG strategy and oversight
Audit and accounting
Regulation
Related-party transactions

Social

Human capital management
Data security and privacy
Regulation
Digital ethics
Human rights
Product safety and impact
Diversity and inclusion
Health and safety
Labor rights

Environment

Energy use and efficiency
GHG emissions or climate change strategy
Materials use and sourcing
Water use and efficiency
Environmental policy and strategy
Pollution and waste management
Regulation

We may refrain from voting when issues arise that cause us to determine that voting proxies is not in the best interest of our clients or that it is not reasonably possible to determine whether voting proxies will be in the best interests of clients. Additionally, we do not vote in certain countries that require "share blocking," due to the possible liquidity constraints that could result in the cost of voting outweighing the benefit to the client. Shares out on loan also may not be voted. Sands Capital is not an activist investor and generally does not acquire or hold investments for the purpose or effect of changing or influencing the control of its investee companies.

As part of our ongoing research, Sands Capital regularly engages with the management teams and, if appropriate, board members of portfolio businesses to better understand each business's long-term strategic vision and management of risks and opportunities, including those pertaining to environmental, social, and governance (ESG) matters. The use of the term "active ownership" and Sands Capital's engagement with management teams and board members do not involve any direct or indirect attempt to exert pressure to implement specific measures, change policies, or otherwise influence control over the issuer.

Select Engagement Report

SanDisk



Business:
SanDisk is a U.S.-based provider of flash memory and storage technologies.

Key issues:
Material sourcing and board structure or composition.

Background

Following its separation from Western Digital, SanDisk has been establishing its governance framework as an independent public company. Its joint venture with Kioxia also makes the division of responsibilities between the two companies an important consideration when assessing supply chain oversight. Our engagement focused on understanding how the joint partnership manages sourcing decisions and operational responsibilities, alongside the experience and composition of SanDisk's newly established board.

Clarifying supply chain responsibilities

We discussed how SanDisk works with Kioxia to plan growth and manage its supply chain. The company explained that the joint venture arrangement extends through 2034 and covers two fabrication facilities in Japan. SanDisk and Kioxia jointly make decisions about supply chain and sourcing, with Kioxia responsible for day-to-day execution because it staffs most of the facilities' operations.

The discussion clarified the distinction between shared decision-making and operational responsibility. SanDisk participates in sourcing decisions, while Kioxia manages their implementation within the facilities. This division of responsibilities is relevant to assessing how responsible sourcing expectations are translated into operating practices and how SanDisk maintains oversight of activities carried out by its partner.

Assessing board composition following the separation

We also discussed SanDisk's board in the context of its recent separation from Western Digital. At the time of the engagement, the company had been independently publicly traded for less than two years.

The company highlighted directors' experience at businesses including Taiwan Semiconductor, Advanced Micro Devices, Cisco, and other companies in the semiconductor and hardware industries. In our view, these backgrounds provide relevant knowledge for overseeing an organization with complex manufacturing relationships, substantial investment requirements, and exposure to changing technology and supply chain conditions.

The discussion provided insight into the relevance of directors' industry experience, with the board's effectiveness and working relationships still developing as SanDisk builds its track record as an independent company.

Engagement outcome

The engagement clarified how SanDisk and Kioxia divide sourcing decisions and operational responsibilities within their joint partnership. It also identified relevant semiconductor and hardware experience on SanDisk's newly established board. These insights provide a foundation for future discussions on responsible sourcing oversight, accountability within the joint venture, and the board's development as the company matures.

This report is an example of the type of fundamental research Sands Capital conducts and, as such, contains the opinions and comments of Sands Capital at points in time. Additional or subsequent information may cause Sands Capital's views to change. This report is not a complete analysis of all material facts and therefore is not a sufficient basis alone on which to base an investment decision. This material may include summaries and references to research notes, emails, conference calls, and meetings, and there is no guarantee or representation that this information is complete, current, or accurate. The information contained herein has been prepared from sources believed reliable but is not guaranteed by us as to its timeliness or accuracy and is not a complete summary or statement of all available data. This report is for informational purposes only. As part of our ongoing research, Sands Capital regularly engages with the management teams and, if appropriate, board members of portfolio businesses to better understand each business's long-term strategic vision and management of risks and opportunities, including those pertaining to environmental, social, and governance (ESG) matters. Sands Capital's engagement with management teams and board members does not involve any direct or indirect attempt to exert pressure to implement specific measures, change policies, or otherwise influence control over the issuer. The company illustrated represents a holding in the Sands Capital strategies as of September 30, 2026, and was selected by the author on an objective basis to illustrate the views expressed in the Commentary. The example was selected based on the recent date of the engagements and topics discussed. The assessment of each business is based on factors that we believe are material to the long-term investment case. To receive a complete list of company engagements for the prior twelve months please contact a member of the Client Relations Team at 703-562-4000.

Select Growth Tax Exempt Institutional Equity Composite (TEIEC) GIPS Report

			TEIEC			R1000G				
Year End	# Accounts	End of Period AUM (USD $M)	Returns (Net)	Returns (Gross)	Annualized 3Y Std. Dev. (Net)	R1000G	Annualized 3Y Std. Dev.	Non-Fee Paying % of Composite	Asset Wgt'd Std. Dev. (Gross)	Firm Total Assets (USD $M)
2025	40	$7,379.78	15.45	15.89	23.08	18.56	14.71	0.00	0.33	$48,202.34
2024	46	$6,375.64	24.30	24.79	28.91	33.36	20.33	0.00	0.22	$47,462.52
2023	69	$7,696.98	52.03	52.71	28.22	42.68	20.51	0.00	0.29	$46,746.96
2022	88	$6,625.17	-49.14	-48.88	28.26	-29.14	23.47	0.00	0.19	$40,707.08
2021	78	$10,733.38	4.89	5.36	20.99	27.60	18.17	0.00	0.23	$75,340.29
2020	82	$12,888.65	71.42	72.15	22.42	38.49	19.64	0.00	0.71	$68,621.83
2019	84	$10,063.97	33.34	33.91	17.22	36.39	13.07	0.00	0.15	$44,636.85
2018	90	$9,140.97	6.77	7.27	17.03	-1.51	12.13	0.00	0.19	$35,387.67
2017	102	$11,646.37	35.15	35.74	15.07	30.21	10.54	0.00	0.48	$41,331.26
2016	115	$10,192.82	-7.13	-6.70	15.58	7.08	11.15	0.00	0.18	$34,914.29

Net Returns

As of 09/30/2026	QTD	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception (02/29/1992)
TEIEC	-0.2	7.0	1.2	23.5	2.0	14.3	12.3
R1000G	0.9	6.3	7.5	24.3	13.7	18.2	11.1

Effective 5/31/2022, the name of the composite changed from Tax Exempt Institutional Equity Composite to Select Growth Tax Exempt Institutional Equity Composite. As of October 1, 2021, the firm was redefined to be the combination of Sands Capital Management, LLC and Sands Capital Alternatives, LLC (previously known as Sands Capital Ventures, LLC). Both firms are registered investment advisers with the U.S. Securities and Exchange Commission in accordance with the Investment Advisers Act of 1940, as amended. The two registered investment advisers are combined to be one firm for GIPS purposes and are doing business as Sands Capital. Sands Capital operates as a distinct business organization, retains discretion over the assets between the two registered investment advisers, and has autonomy over the total investment decision making process. Prior to October 1, 2021, the firm was defined as: Sands Capital Management, LLC, is an independent registered investment adviser. Sands Capital claims compliance with the Global Investment Performance Standards (GIPS®) and has prepared and presented this report in compliance with the GIPS® standards. Sands Capital has been independently verified for the periods February 7, 1992 through December 31, 2025. A firm that claims compliance with the GIPS standards must establish policies and procedures for complying with all the applicable requirements of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis. The Select Growth Tax-Exempt Institutional Equity Composite ("TEIEC") has had a performance examination for the periods February 29, 1992 through December 31, 2025. The verification and performance examination reports are available upon request. The TEIEC contains all fee and non-fee paying, tax-exempt institutional accounts managed in the Select Growth strategy. The Select Growth strategy is a concentrated portfolio that normally consists of the equity securities of 25 to 30 primarily large and mid-capitalization growth businesses. Portfolio companies are primarily domiciled in the U.S. but may also include ADRs and the equity securities of foreign issuers in other developed and emerging markets that are listed on U.S. exchanges. The strategy may experience losses as it is subject to equity securities risk, market and issuer risk, selection risk, growth style risk, concentration risk, and other economic risks that may influence the returns of this strategy. The benchmark for the TEIEC is the Russell 1000 Growth Index ("R1000G"). The R1000G measures the performance of those Russell 1000 companies with higher price-to-book ratios and higher forecasted growth values. The TEIEC holds securities that are not included in the R1000G, and Sands Capital may invest in securities not covered by the index. The minimum account size for this composite is $3 million. The annual composite dispersion presented is an asset-weighted standard deviation calculated of performance dispersion for accounts in the composite for the entire year, using beginning of period values. Gross and net performance includes the reinvestment of all income and is presented net of expenses, interest income, and capital gains. Net returns presented are calculated using actual fees and performance fees if applicable. Bundled fee accounts pay a fee based on a percentage of assets under management. Other than brokerage commissions this fee may have included portfolio monitoring, consulting services, and in some cases, custodial services. As of January 1, 2013, bundled fee accounts are no longer included in the TEIEC and in 2012, bundled fee account assets represented 0.9% percent of the composite. The U.S. Dollar is the currency used to express performance. Policies for valuing investments, calculating performance, and preparing GIPS Reports are available upon request. A list of composite descriptions, pooled fund descriptions for limited distribution pooled funds, and broad distribution funds is available upon request. Past performance is not indicative of future results. The investment management fee schedule for separate accounts is 0.75% on the first $50 million of assets under management and 0.50% on assets under management greater than $50 million. Accounts may also pay a performance-based fee that consists of a base fee plus a percentage of the annualized excess return versus the benchmark. Additional information regarding performance fees is available upon request. Actual investment advisory fees incurred by clients may vary which will result in performance that may be higher or lower. The TEIEC was created on February 29, 1992 and the inception date for performance is February 29, 1992. Russell 1000® Growth Index is a trademark of the Frank Russell Company. GIPS® is a registered trademark of CFA Institute. CFA Institute does not endorse or promote this organization, nor does it warrant the accuracy or quality of the content contained herein.

Sands Capital

We are an active, long-term investor in leading innovative growth businesses, globally. Our approach combines analytical rigor and creative thinking to identify high-quality growth businesses that are creating the future. Through an integrated investment platform spanning venture capital, growth equity, and public equity, we provide growth capital solutions to institutions and fund sponsors in more than 30 countries. Sands Capital is an independent, staff-owned firm founded in 1992 with offices in the Washington, D.C. area, New York, San Francisco, London, and Singapore.

All-In Culture

We are one team dedicated to one mission and one philosophy. As a fully independent and staff-owned firm, we attract and retain strong talent, focus on long-term outcomes, and are highly aligned with our clients' interests.

Insight Driven

Businesses that can build a sustainable advantage are few and far between. To seek them, we apply six criteria to separate signal from noise, identify what matters most, and construct differentiated views on tomorrow's businesses, today.

High Conviction for High Impact

All our strategies concentrate investments in only our best ideas and avoid mediocrity. With the intent to own businesses for five years or longer, we seek to create value for clients through the compounding of business growth over time.

Global Perspective with Local Understanding

Innovation-driven growth knows no geographic boundaries. Neither does our research team. We are hands on, on-the-ground, deeply immersed in the ecosystems in which our businesses operate.